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Author(s): Joel Brockner, Jeff Greenberg, Audrey Brockner, Jenny Bortz, Jeanette Davy and Carolyn Carter

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LAYOFFS, EQUITY THEORY, AND WORK PERFORMANCE: FURTHER EVIDENCE OF THE IMPACT OF SURVIVOR GUILT

JOEL BROCKNER
Columbia University

JEFF GREENBERG
University of Arizona

AUDREY BROCKNER
Hunter College

JENNY BORTZ
JEANETTE DAVY

CAROLYN CARTER
University of Arizona

This study explored the effects of layoffs on survivors. We assessed subjects' work performance as a function of whether a co-worker had been laid off and the circumstances of that layoff. Consistent with equity theory, subjects worked harder when they believed that a co-worker's dismissal was based on a random process rather than on the relative merits of their and their co-worker's prior performance. Data drawn from questionnaires lent further support to equity theory as an explanation of these results.

Many organizations resort to layoffs during periods of financial strain in obvious attempts to reduce personnel costs. Less obvious though perhaps no less important are the likely consequences that layoffs have for the work behavior and attitudes of survivors, those employees who are not laid off. To date relatively little research has explored the effects of layoffs on survivors. The present study was designed to address this deficiency.

Several psychological perspectives offer some insight into the effects of layoffs on survivors. For example, layoffs may elicit anxiety produced by job insecurity that may in turn influence the performance of survivors. Indeed, the relationship between anxiety and performance has long been a topic of interest to experimental psychologists (Spence, Farber, & McFann, 1956).

More germane to the present study, the voluminous literature on distributive justice (Deutsch, 1975; Folger & Greenberg, 1985; Leventhal, 1980; Tyler & Caine, 1984) may also elucidate the effects of layoffs on survivors. Distributive justice concerns the principles decision makers rely on in

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allocating scarce resources. According to Deutsch and others, the relative salience of these principles depends on the goals that a group or organization is trying to achieve. In business organizations the primary goal is economic productivity; thus equity—rather than equality or need—is most likely to be the salient norm. Accordingly, the vast body of research on equity theory (Adams, 1965) may apply to the current analysis.

Much of the previous research on equity theory in industrial and organizational psychology has evaluated the effects of positive inequity on workers' reactions (Mowday, 1979). Positive inequity refers to workers' perceiving that the ratio between outcome and input is higher for them than it is for relevant others. Two basic notions in equity theory are that positive inequity (1) arouses guilt, and (2) motivates individuals to redress this guilt through behavioral or psychological means. For example, Adams (1965) and others have shown that positive inequity may cause employees to work harder, presumably in order to redress the perception that they are taking advantage of their employers.

It is our contention that layoffs may cause survivors to experience positive inequity, especially if they believe that they could have just as easily been dismissed as their co-workers. Thus, contrary to the procedure employed in most studies of positive inequity, which create positive inequity by increasing workers' outcomes in relation to those of comparison others, surviving a layoff may produce positive inequity by decreasing outcomes for comparison others.

In fact, a recent study by Brockner, Davy, and Carter (1985) tested the hypothesis that the dismissal of a co-worker could cause survivors to experience guilt produced by positive inequity that in turn would lead to improvement in subsequent work performance. In that laboratory experiment, each subject performed a clerical task and was led to believe that another person—who was actually an experimental accomplice—was simultaneously performing a similar task. Subjects' motivation for taking part in the study was to receive extra course credit. Midway through the proceedings, half of the subjects were told that an unforeseen problem made it impossible for both them and the other person to complete the experiment. Moreover, they were told that the person who did not complete the experiment would receive no credit for having taken part in the study. A seemingly random procedure always forced the accomplice to leave while the subjects survived. These subjects, whom we designated as in the layoff condition, then performed the second half of the clerical task.

The other half of the subjects, designated as in the control condition, were merely interrupted midway through the proceedings for a break. The primary dependent variables were (1) subjects' perceptions of how fairly both they and the other person had been treated, (2) their guilt, and (3) their work performance, as indicated by the quantity of their productions and quality of their efforts on the first and second halves of the clerical task.

The results were consistent with equity theory. Compared to those in the control condition, subjects in the layoff condition (1) reported that they had

been treated much more fairly than the other person, (2) reported feeling more guilty, and (3) increased the quantity—but not the quality—of their performance to a greater extent on the second half of the task.

In this previous study (Brockner et al., 1985), decisions about whom to lay off were results of a seemingly random process. For practical as well as theoretical reasons, however, it seems important to study the effects of different rules for making layoff decisions on the work performance of survivors. At the practical level, managers faced with the difficult task of implementing layoffs will clearly be concerned with whether different decision rules elicit differential responses among survivors. If a particular decision rule causes survivors to feel and perform more positively, or at least less negatively, managers may wish to invoke that rule when layoffs are inevitable. At the theoretical level, equity theory provides reason to believe that decision rules significantly affect the subsequent performance of survivors.

The present study was thus designed to extend the earlier study. We randomly assigned subjects to one of three experimental conditions. As in the previous study, we studied random layoff and control conditions. In addition, we assigned a third group of subjects to a merit layoff condition in which they were told that the decision about who was to stay was based on the relative merit of their performance on the first half of the task. We led subjects in the merit layoff condition to believe that they had outperformed an accomplice.

Equity theory predicts that the merit layoff condition should have less effect on workers' subsequent performance than will the random layoff condition. More specifically, subjects in the merit layoff condition may restore equity *psychologically* by perceiving that their better performance or greater input justified their status as survivors. Consequently, these survivors have less need to redress the inequity behaviorally through such means as heightened work performance. In short, although we expected the quantity of survivors' output to be greater in the random than in the control condition, we expected that there would be little or no difference in quantity of output between those in the merit and control conditions. Instead, subjects in the merit condition would redress inequity by focusing on the fact that they had performed better than their co-worker on the previous task.

The present study also addressed another important theoretical issue. At the outset we implied that guilt produced by positive inequity is one, but not the only, reaction that survivors may have to co-workers' layoffs. In actual organizations, survivors may have many other feelings. To name two possibilities, they may be worried or anxious that they too will be laid off at some future date, or angry, especially if they perceive the layoffs as illegitimate. Because the present study is derived from equity theory, it is important to isolate the effects of guilt produced by positive inequity from these other reactions of survivors. Thus, we induced the layoff conditions so as to arouse guilt produced by positive inequity but not other affective states like anxiety or anger. Of course, whether subjects in the layoff conditions actually felt anxious or angry in addition to feeling guilty is an empiri-

cal question. Accordingly, we assessed their affective states after the layoff manipulation.

METHODS

Subjects

A total of 145 undergraduates at a large state university completed the experiment. We drew subjects from introductory psychology or management classes, offering them extra course credit for taking part.

Procedures

Upon arrival at the laboratory for what we called a test validation experiment, a subject was led into a large research room and seated at a desk. The experimenter told the individual that another subject had to arrive before the experiment would begin. Approximately 30 seconds later a woman confederate, posing as another subject, arrived and was seated at a desk diagonally opposite to the subject. Both subject and confederate were informed that they would (1) work on a proofreading task, (2) have a short break, and (3) work on a second proofreading task. The alleged purpose of the proofreading was to develop some standardized tests of cognitive performance. To minimize competition, we told both individuals that they would not be proofreading the same material. Furthermore, they were told that "to minimize any possible distractions we are going to have you do the proofreading in separate, private rooms."

At this point we ushered both confederate and subject into separate research cubicles to perform a proofreading task that has been used in previous research (Reis & Burns, 1982). They received two six-page booklets containing a passage from Jane Jacobs's *Death and Life of Great American Cities*. One copy was designated uncorrected pages and had numerous spelling, grammatical, and punctuation errors throughout. The other, flawless copy was designated master pages. Subjects were instructed to proofread by comparing the two and to underline but not correct all of the errors they observed on the uncorrected pages. They had eight minutes to read the passage. The experimenter emphasized the importance of both speed and accuracy to subjects; these provided indicators of quantity and quality of performance.

The experimenter then left subjects alone in their research cubicles for eight minutes to perform the proofreading. After eight minutes had elapsed the experimenter reentered subjects' cubicles, had them underline the last line they had proofread, and asked them to follow her back to the large research room. The confederate, also fetched by the experimenter, came to the large research room several seconds later. During this rest period we introduced the layoff manipulation. Previously we had randomly assigned subjects to one of the three conditions. The experimenter told subjects in the random and merit layoff conditions that because of a room scheduling problem only one person could finish the experiment; moreover, the person who left would receive no credit for having taken part in the study. Then the

experimenter stated an apparently impromptu basis on which the layoff decision was going to be made.

The experimenter told subjects in the random layoff condition that both individuals would have to draw lots to determine which one of them would get to stay. We rigged the lottery so that subjects always were chosen to stay. For subjects in the merit layoff condition the experimenter said that the decision would be based on the quantity and quality of each individual's performance on the first proofreading task. The experimenter then excused herself for a few moments, supposedly to grade the first proofreading tasks. Subjects were then always informed that they had performed better than the other person and therefore could stay while the confederate was forced to leave.

To buttress the perceived unfairness of her having been forced to leave, the confederate said as she was exiting that it was really unfair to make her leave and deprive her of the extra credit. The experimenter verbally agreed that it was a tough break, but said nothing else.

For the control condition the experimenter merely asked subjects not to speak with one another during the rest period. The experimenter then made busy work for herself, for about one minute, a period comparable to the time needed to complete the layoff for the random and merit layoff conditions.

Subjects in all conditions were led back to their private research cubicles, in which they worked on a different six-page proofreading task taken from the same book used for the first task. For the control condition the confederate was led back to her cubicle first, in full view of the subject. The instructions and length of time allotted for the second task were the same as for the first. After eight minutes the experimenter reentered the subjects' cubicles and asked them to underline the last line that they had proofread.

Dependent variables. The behavioral dependent measures were measures of the quantity and quality of proofreading performance on each task. We assessed the first by counting the numbers of lines that subjects had proofread during the eight-minute reading periods and determined the second by computing the percentages of errors that subjects had correctly identified in the lines they had finished reading.

After completing the second proofreading task all subjects responded to a final questionnaire, which included a manipulation check as well as a number of measures of their affective states while working on the second proofreading task. The two manipulation check questions required subjects to rate (1) how fairly the experimenter treated them (self-rating), and (2) how fairly the experimenter treated the other subject (other rating). Responses could range from 1 = not at all to 7 = more than fairly. Subjects also indicated the extent to which each of the following described how they felt while proofreading the second task: frustrated, worried, lucky, sad, confident, guilty, anxious, glad, competitive, angry, helpless, distracted, and sorry for the other person. Responses to each of these measures could range from 1 = not at all to 7 = a great deal. In addition, subjects responded to an item designed to tap their perceived inputs on the first proofreading task: "How well did

you perform on the first proofreading task?"; responses could range from 1 = very poorly to 7 = very well.

After they had completed this questionnaire the experimenter fully debriefed the subjects, paid and thanked them, and implored them not to speak with anyone about the research.

RESULTS

Manipulation Check

Equity theory posits that perceived equity is the result of relative comparison—individuals' comparing themselves to others. Thus, we employed an analysis of variance with two factors, condition $\times$ self-other, with repeated measures on the second factor. The relevant effect is the interaction, which was highly significant ($F_{2,142} = 14.15, p < .001$). Subjects in the random layoff condition reported that they had been treated much more fairly than the other subject ($\bar{x} = 5.22$ and 3.44), and subjects in the merit layoff condition did likewise ($\bar{x} = 5.34$ and 3.63). But those in the control condition did not report that they had been treated more fairly ($\bar{x} = 6.08$ and 5.79). The layoff induction thus appears to have been successful. Moreover, there was no evidence that subjects saw layoffs based on merit as less unfair than the random layoffs. What differed was how the subjects in the two layoff conditions responded to the perceived positive inequity.

Behavioral Measures

Quantity of performance. Subjects' performance on the proofreading task prior to the layoff manipulation did not differ as a function of experimental condition ($F < 1$). We then performed a two-factor (condition $\times$ task) analysis of variance with repeated measures on the second factor. The main effect for task was highly significant ($F_{1,142} = 59.27, p < .001$). Across conditions, subjects proofread many more lines in the second than the first task. This effect, which was not of primary importance, may have been due to a practice or warm-up effect.

Of greater importance was the significance of the interaction between condition and task ($F_{2,142} = 3.90, p < .025$). As predicted and shown by Table 1, the greatest rise in productivity between the first and second tasks occurred in the random layoff condition ($\bar{x} = 15.55$ lines). By contrast, subjects in the control condition proofread 6.51 more lines on the second than the first task and those in the merit condition proofread 9.41 more lines on the second task. The results of a Newman-Keuls multiple comparison test revealed that the increase in the random condition was significantly greater than that exhibited in the control condition ($p < .02$), and in the merit condition ($p < .06$). As predicted, there was no significant difference between the increases exhibited in the control and merit conditions ($p > .25$). The significant difference between the random and control conditions thus replicates a previous research finding (Brockner et al., 1985) whereas the comparisons between

TABLE 1
Comparison of Productivity on Tasks for Three Experimental Conditions

Experimental Conditions	Mean Number of Lines Proofread ^a		Increase in Lines Proofread ^b
	First Task	Second Task	
Control (N = 39)	85.31 (25.06)	91.82 (27.21)	6.51
Random layoff (N = 36)	87.67 (27.34)	103.22 (29.95)	15.55
Merit layoff (N = 70)	84.07 (25.72)	93.48 (23.48)	9.41

^aMaximum score = 164 lines; standard deviations in parentheses.
^bThe layoff manipulation took place between the first and second tasks.

the merit and random layoff conditions and the merit and control conditions extend the earlier research.¹

On the assumption that work performance is a function of motivation and ability, it may be useful to speculate about what mediated the significant results on the quantity measure. It is likely that the main effect for task reflected an increase in proofreading ability due to a practice effect from the first to the second task. The varied increase in work quantity across the three conditions, however, more likely reflected differences in motivation than in ability.

Quality of performance. There were no differences in performance quality on the initial task as a function of the upcoming layoff manipulation ($F < 1$). We performed an analysis of variance for condition $\times$ task with repeated measures on the second factor. As in the analysis of the data on quantity, two significant effects emerged. First, the main effect for task was highly significant; subjects correctly identified fewer errors in the material in the second task ($F_{1,142} = 24.50, p < .001$). Second, and of greater importance, was the significant interaction between the factors ($F_{2,142} = 4.89, p < .01$). The greatest decline in quality between the first and the second tasks occurred for subjects in the random layoff condition ($\bar{x} = 63.50$ and 53.72%); the least decline occurred for those in the merit layoff condition ($\bar{x} = 61.03$ and 59.15%); and a moderate decline occurred in the control condition ($\bar{x} = 61.49$ and

¹ Brockner and colleagues (1985) observed an increase in productivity under the random layoff condition particularly among subjects who were low in chronic self-esteem. In order to evaluate replicability, we had subjects complete the Janis-Field self-esteem scale (Eagly, 1967) at the outset of the present study. An ANOVA for self-esteem $\times$ condition $\times$ task yielded no significant effects for self-esteem, but the effect of self-esteem in the control and random layoff conditions was quite similar to that observed in the previous study. A simple analysis of effects revealed that people with low self-esteem increased the quantity of their performance more in the random than in the control condition ($F_{1,69} = 5.31, p < .03$). In marked contrast, in the random and control conditions people with medium and high self-esteem exhibited equal increases in productivity ($F_s < 1$).

56.23%). The Newman-Keuls multiple comparison test revealed that the change in quality of performance differed between the random and the merit layoff condition ($p < .01$), but that changes in the two layoff conditions did not differ significantly from the change exhibited in the control condition.

Correlational analyses revealed that quantity and quality of performance were inversely related on both proofreading tasks, though somewhat more so on the second than the first ($r_{143} = -.32$ and $-.56$). In spite of these negative correlations, we should note that the data on change in quality between conditions were not simply a mirror image of the quantity results. Although subjects in the random condition exhibited both the sharpest decrease in quality and the sharpest increase in quantity, the condition in which quality of performance showed the least decline was the merit condition and the one in which the increase in quantity was the least was the control condition.

Affective States

Data from the manipulation check suggested that subjects in the layoff condition did perceive positive inequity in how they had been treated compared to their dismissed co-worker. Was this positive inequity associated with heightened guilt or remorse as equity theory would predict? We found that it was. Subjects in the merit and random layoff conditions reported feeling more guilty ($\bar{x} = 2.84$ and 2.36) while performing the second proofreading task than did subjects in the control condition ($\bar{x} = 1.72$; $F_{2,142} = 4.65$, $p < .01$). Furthermore, subjects reported feeling much more sorry for the other person in the merit and random layoff conditions ($\bar{x} = 4.81$ and 5.03) than in the control condition ($\bar{x} = 1.74$; $F_{2,142} = 35.73$, $p < .001$).

Although this evidence suggests that surviving a layoff evoked feelings of guilt or remorse, it does not rule out the possibility that the layoffs aroused other feelings unrelated to equity theory. For example, subjects in either of the layoff conditions could have felt worried or anxious about the possibility of their also being asked to leave, or angry. It is important, however, that subjects in the random and merit conditions did not report feeling more worried ($F < 1$), anxious ($F < 1$), or angry ($F < 1$) than did subjects in the control condition. In fact, the layoff manipulation had no significant effect on subjects' feeling frustrated, lucky, confident, competitive, sad, helpless, or distracted, according to self-reports. The only other significant effect emerged for feeling glad ($F_{2,142} = 5.22$, $p < .01$). Not surprisingly, subjects in the merit and random layoff conditions reported feeling more glad ($\bar{x} = 4.51$ and 4.06) than did those in the control condition ($\bar{x} = 3.49$).

Perceived Input

The results for the manipulation check and measures of affective states revealed that subjects in the random and merit conditions reported feeling relatively equal levels of positive inequity, guilt, and remorse. Yet only those in the random condition significantly increased productivity. We predicted that those in the merit condition would be able to redress the positive inequity through the notion of their greater input. They would justify their survi-

vor status by focusing on the fact that their initial performance or the task was better. In fact, subjects in the merit condition did evaluate their initial task performance more favorably ($\bar{x} = 5.09$) than did those in the random ($\bar{x} = 4.31$) and control conditions ($\bar{x} = 4.49$; $F_{2,142} = 4.42$, $p < .01$). Of course, such results do not prove that survivors in the merit condition redressed the inequity psychologically, but they are at least consistent with such an assertion.

DISCUSSION

In summary, data revealed that subjects saw the random and merit layoffs as more unfair to the other subject and that these layoffs aroused guilt and remorse. Perhaps most interesting, subjects appeared to redress the positive inequity in very different ways in the two layoff conditions. Random layoffs caused subjects to increase the quantity of their output; merit layoffs led subjects to perceive that they had performed more favorably on the first task than did their counterparts in the control or random conditions. This suggests that the merit survivors restored equity through psychological rather than behavioral means. Finally, the quality of survivors' performance was significantly greater in the merit than the random condition.

Explanations

The present study was generally derived from distributive justice theory (Deutsch, 1975) and grounded more specifically in equity theory (Adams, 1965). Taken together, the three findings of the present study provide strong support for equity theory.

First, data from the manipulation check revealed that subjects perceived their co-worker's dismissal to be unfair; in other words, subjects reported experiencing positive inequity as a result of a comparison with the worker who was laid off.

Second, the results of the measures of affective states demonstrated that subjects in the merit and random layoff conditions reported feeling guilty and remorseful, both believed to be emotional consequences of positive inequity.

Third, equity theory posits that inequity can be redressed through both behavioral and psychological means. Once again, our evidence supports the theory. Survivors in the random condition exhibited a greater increase in subsequent performance input than did those in the merit and control conditions. Survivors in the merit condition perceived their prior performance input as greater than did survivors in the other two conditions.

Alternative interpretations. Not only do the findings reported in the preceding paragraphs support equity theory, but other findings—primarily those drawn from the measures of affective states—are inconsistent with alternative interpretations. Thus, surviving layoff could have increased anxiety among subjects; or in a more positive vein, it could have increased confidence. Either could have affected their subsequent work performance.

For example, survivors in the random condition may have increased the quantity of their output to the extent that they experienced worry or anxiety produced by job insecurity. However, there was absolutely no evidence that subjects in either the random or merit conditions felt worry, anxiety, confidence, or any of a variety of emotions more acutely than did subjects in the control condition.

The present findings extend the range of organizational phenomena to which equity theory is relevant. One frequent criticism of previous equity studies is that researchers have relied too much on overpayment to induce positive inequity. In actual organizations a variety of factors, not all having to do with money, can stimulate inequity. This study is one of the few attempts to manipulate inequity through nonfinancial means (cf. Greenberg & OrNSTEIN, 1983).

Future Research

To reiterate, only a few earlier studies (e. g., Greenhalgh, 1983) have empirically investigated the impact of layoffs on survivors. We hope that the results reported here will stimulate further work on this topic of practical and theoretical significance. To increase the external validity of such future research efforts, investigators should study the effects of layoffs in actual organizations. It is likely that actual layoffs evoke many affective states among survivors—*anxiety, guilt, anger, and relief*, to name a few—that may influence their work behaviors and attitudes in complex ways. Investigators need to give careful thought to the factors that moderate the effects of layoffs on survivors. The results reported here suggest that the rule by which layoff decisions are made is one relevant factor; but there are countless others. For example, layoffs are bound to have more emotional impact when (1) prior work interdependence between the laid-off workers and survivors is high, (2) the survivors and laid-off workers are similar professionally or personally, and (3) survivors cannot easily find comparable work elsewhere. In sum, we suspect that many types of factors moderate the effects of layoffs on survivors. These include characteristics of the work itself, such as interdependence; individual differences among survivors, such as differences in self-esteem; formal organizational arrangements like the decision rule upon which layoffs are based; informal factors like similarity of co-workers; and environmental conditions such as the job market for comparable work. Of course, research exploring the effects of these factors should be theoretically grounded, as was the present study, in which we derived the decision rule variable from equity theory.

In addition, future investigators should assess the effects of several factors that are often present in actual organizations but that did not exist in our experimental setting. For example, the longevity of the performance effect obtained in the present study remains to be empirically evaluated. In addition, the effects of anticipated layoffs are worthy of attention. Once again, we emphasize that it is important to study the impact of layoffs on survivors in more naturalistic settings. If anything, the laboratory procedure

used in this study, in which relatively little was at stake and in which survivors and laid-off workers were unacquainted, may grossly underestimate the impact of layoffs on survivors in actual organizations.

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Joel Brockner earned his Ph. D. degree in personality and social psychology from Tufts University. He is currently an associate professor of management at the Graduate School of Business, Columbia University. His research interests include the consequences of organizational exits, conflict escalation, and self-esteem processes.

Jeff Greenberg received his Ph. D. degree in social psychology from the University of Kansas. He is currently an assistant professor of psychology at the University of Arizona. His research focuses on processes for maintaining self-esteem and on depression.

Audrey Brockner completed her M. S. W. degree at Simmons College. She is now a lecturer at the Hunter College School of Social Work. Her research interests are psychotherapy, clinical supervision, and self-psychology.

Jenny Bortz recently completed her undergraduate degree in business administration and psychology at the University of Arizona. Her research interests are personnel and human resource management.

Jeanette Davy is a doctoral candidate in the Department of Management at the University of Arizona. Her research interests focus on the effects of layoffs on survivors and labor unions.

Carolyn Carter is a doctoral candidate in educational psychology at the University of Arizona. Her research interests are psychotherapy and organizational behavior.